

DIVESTMENT REPORT CARD

Since 2016, CCEA has given in-principle approval to more than 30 strategic sales



10 **TRANSACTIONS COMPLETED**

(Includes Air India, Neelachal Ispat, Dredging Corporation of India)

14 **ONGOING TRANSACTIONS BY DIPAM**

(Includes BEMIL, Shipping Corporation of India, Rashtriya Ispat Nigam Ltd, IDBI Bank)

3 **ONGOING TRANSACTIONS BY ADMINISTRATIVE MINISTRIES**

(Includes various units of ITDC Ltd, Hindustan Antibiotics Limited)

5 **TRANSACTIONS HALTED AS CPSE TO BE CLOSED**

(Includes various units of ITDC Ltd, Hindustan Antibiotics Limited)

1 **TRANSACTION HELD UP DUE TO LITIGATION**

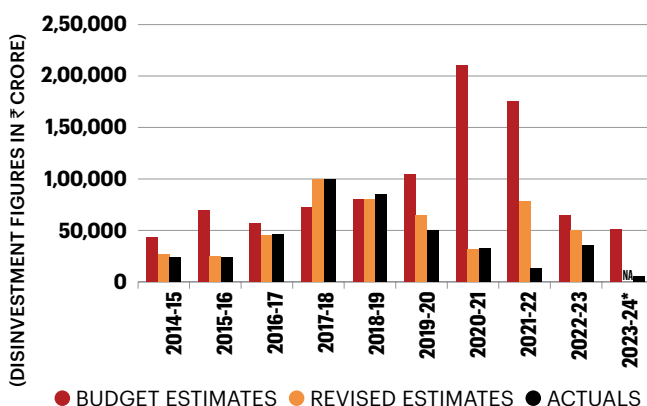
(Karnataka Antibiotics & Pharmaceuticals)

SOURCE PARLIAMENT PAPERS

AT A SNAIL'S PACE

► **THE PROCEEDS FROM DISINVESTMENT HAVE BEEN LOWER THAN ANTICIPATED IN MOST YEARS**

► **FISCAL YEAR 2017-18 SAW RECORD PROCEEDS OF AROUND ₹1 LAKH CRORE**



*TRANSACTIONS TILL AUGUST; NA: NOT AVAILABLE

SOURCE: ANNUAL REPORT 2022-23 MINISTRY OF FINANCE, DIPAM

to the successful bidder often take longer than anticipated. For instance, there's a whole lot of due diligence required in the privatisation of IDBI Bank. Strategic sales in Shipping Corporation of India and Bharat Earth Movers require demerger and listing of their non-core businesses that consist of land assets.

Interest from investors has also proven to be a stumbling block and getting the right price is a prime consideration. Take for instance the disinvestment of the debt-ridden erstwhile national carrier Air India, which took three attempts over a period of 20 years before it could be sold off to the Tata group. In the case of LIC, the IPO size was cut to 3.5 per cent from the planned 5 per cent because of choppy capital market conditions.

Then there are some that have not taken off. In the case of Container Corporation of India, while the Union Cabinet's approval has been in place for some time and a land lease policy was also cleared last year, the exercise seems to be on hold. The strategic disinvestment in Pawan Hans has been scrapped and that of Bharat Petroleum Corp. also seems to be in deep freeze.

THE WAY AHEAD

Meanwhile, the operationalisation of the National Land Monetisation Corporation (NLMC) is underway but could take some time. The NLMC, which was approved by the Union Cabinet in March 2022, aims to monetise land and other non-core assets of central public sector enterprises (CPSE) that are being taken up for strategic sale and closure. The department of public enterprises, which is the nodal ministry in charge of this initiative, has recently selected international property consultants, including SBI Capital Markets and CBRE South Asia, to provide transaction advisory services for monetisation of such assets.